pressure on the Indian rupee as the demand-supply situation is not adversely affected.

Sixth, the possibility of manipulating the rupee exchange rate is theoretically higher in case of FC sovereign bonds than rupee-specified securities. In case speculators decide to mount an assault on the rupee, they can drive down prices on FC sovereign bonds by aggressively selling them. This is not even theoretically possible in the case of rupee-specified securities. The likelihood of any speculative attack on Indian currency is as good as non-existent as India is a large economy, has large foreign exchange reserves, low foreign exchange liability and, at present, has no foreign currency bonds issued. For even such a possibility to emerge, India has to have a large stock of foreign currency-denominated bonds outstanding in the market.

Seventh, there are good savings on the interest payment liability of the government in case of FC sovereign bonds compared to rupee-specified securities. Rate of interest payable on rupee securities is far higher than in the case of foreign currency sovereign bonds. There would be some offset in savings on account of the likely depreciation of the rupee over the period of the bond while repaying the principal proceeds. On the whole, however, the likelihood of significant net interest savings is much higher and will remain so for a long time in view of the massive savings glut and quantitative easing policies of advanced countries.

Eighth, sovereign bonds create a good external currency-financing yield curve for India whereas specified securities under FAR fragment the government securities market. On account of different rules applicable to foreign participation in specified securities and other securities issued by the Government of India, which are otherwise the same in every other respect, the demand-supply situation for these two sets of securities become different, which will have an impact on their yields and liquidity.